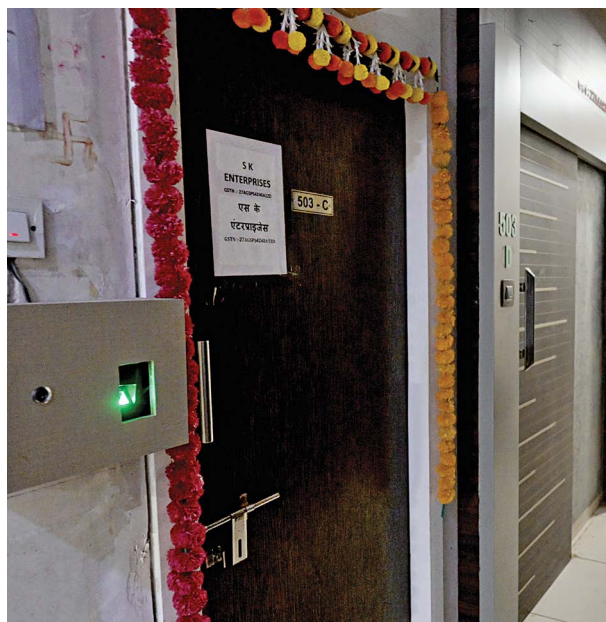


PHOTOS BY MILIND SHELTE



Academy of Banking and Finance, that trains recovery agents at the office of a recovery agency in Mumbai's Goregaon



“Most recovery agencies run like a one-man army. They have a hand-to-mouth existence... [Digital recovery agencies are taking over softer assignments with] calls via bots, reminders, and collection”

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for any wrongdoing by the agent,” says a banker (*see box RBI’s Tough Stance*). Experts suggest that many of RBI’s norms issued recently are mostly repetitions of previous ones, and the key is to implement them effectively.

Currently, there is no framework for ensuring governance as lenders enrol all kinds of small proprietorships. There is no board-level policy specifically for the appointment of recovery agents. *BT*’s investigation found that regional offices of PSBs are entrusted with the task of calling for expressions of interest for the empanelment of recovery agencies. The senior executives of the regional office vet the proposals from recovery agents, which are then put up before the regional head for approval. “There is no information utility or centralised body to check the antecedents of recovery agents,” says a player. It is also not humanly possible to check with the other 50 banks about the performance of a recovery agency.

The biggest abnormality—there is no standardisation in eligibility criteria for selecting a recovery agency. For instance, IDBI Bank’s eligibility criteria says the promoter should be at least a graduate. “How will you ensure governance or compliance with a graduate at the top?” asks a consultant. Union Bank of India has a progressive criterion that says at least one-third of the partners, directors, and employees should be chartered accountants or advocates or should have worked in judicial, police, tax, and revenue recovery departments of the government or banks for at least 10 years.

Another chink in the armour: there is no monitoring of blacklisted agencies. Fullerton India, an NBFC majority owned by Sumitomo Mitsui Financial Group, terminated the services of Om Sai Management Services, a recovery agency in Dum Dum, Kolkata, for process violations in February 2023. But it figures in the list of recovery agencies on Bank of Baroda’s list. When *BT* called the Om Sai office in Kolkata, the person in charge rattled off the names of big private banks that the agency is still working with. Then, IDFC First Bank suspended Ludhiana-based Balak Associates in January 2020 for dishonest work ethics. It also figures in the terminated list of ICICI Bank as of June 2022. But Balak figures in the list of recovery agencies for Home Credit Finance. The consumer finance NBFC responded by saying that “agency empanelment is a detailed exercise encompassing diligent checks on background verification of the vendor, which include KYC checks, market reputation, and infrastructure capabilities.”

There are rampant cases of a terminated agency changing its name and directors to restart in a new avatar. For instance, SBI requires its branches and operating units to report blacklisted agencies to the concerned business group, which in turn would send this information to IBA on a monthly basis for circulation to member banks for action at their end. But when *BT* did an RTI with SBI asking for the names of recovery agencies suspended in the past two financial years, the bank said that the information sought is not compiled and maintained